

European Technology/Software

SAP SE

Rating

Outperform

Price Target

📈 SAP.GR

273.00 EUR



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SAP: Key takeaways from SDC conference

At Bernstein's 23rd SDC London, we hosted SAP IR team. Below are the key takeaways from the meetings.

1. AI is not replacing SAP's ERP franchise. It is creating a new monetization layer on top of it. The most important message is that SAP increasingly sees AI as a driver of incremental revenue rather than a threat to its core applications business. Customers are no longer asking simply for cloud migration or process automation. SAP confirms AI now dominates board-level conversations, with customers wanting intelligence embedded directly into critical workflows such as finance, supply chain, procurement and HR. SAP's response is to build an "agentic" layer on top of its applications rather than treating AI as a standalone product. The planned release of 400 agents for 2026 (200+ already available as of September) is presented as only the beginning, with management ultimately envisioning thousands of agents across the portfolio.

This shifts the debate away from whether LLMs disrupt ERP software and towards whether SAP can capture a meaningful share of the productivity gains created by AI. SAP explicitly argues that value should determine pricing, not token costs or seat counts. Consumption revenue will therefore become increasingly important over time, while traditional user-based subscription revenue remains stable. This supports SAP's ambition for consumption-based AI revenue to become a much larger part of the business by 2030.

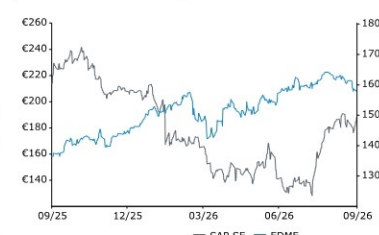
2. The real battleground is the orchestration layer, not the underlying AI models. SAP's strategic objective is to own the orchestration and governance layer that sits between enterprise data and AI agents. SAP repeatedly highlighted customer concerns around accuracy, compliance, permissions, auditability and agent governance. Rather than competing on foundation models, SAP is positioning itself as the trusted layer that manages how agents operate across complex enterprise processes. SAP's platform is deliberately model-agnostic and can switch between multiple LLMs to optimize cost and performance (*cont'd on page 2*).

Adjusted EPS	F25A	F26E	F27E
SAP.GR (EUR)	6.10	7.71	8.72

Financials	F25A	F26E	F27E	CAGR
Revenues (M)	36,800	40,522	46,263	12.1%
Operating Earnings (M)	--	--	--	--
Net Earnings (M)	--	--	--	--
Revenue/Share	--	--	--	--
Operating Margin (%)	--	--	--	--
Net Income Margin (%)	19.5	21.9	20.9	--
EPS Growth (%)	36.0	26.3	13.1	--

Close Date	14 Sep 2026			
SAP.GR Close Price (EUR)	188.34			
Price Target (EUR)	273.00			
Upside/(Downside)	45%			
52-Week Range	244.30/127.44			
EDME	1,577.08			
FYE	Dec			
Div Yield	1.4%			
Market Cap (EUR) (M)	225,529			
EV (EUR) (M)	224,916			
Performance	YTD	1M	6M	12M
Absolute (%)	(11.9)	2.0	10.8	(14.3)
EDME (%)	7.2	(3.4)	6.6	14.2
Relative (%)	(19.1)	5.4	4.2	(28.5)
Source: Bloomberg, Bernstein estimates and analysis.				

Price Performance, 1YR



Valuation Metrics	F25A	F26E	F27E
Adjusted P/E (x)	30.9	24.4	21.6
PEG Adjusted (x)	0.9	0.9	1.7
EV/Sales (x)	6.1	5.6	4.9
P/Sales (x)			
PEG Reported (x)	0.9	0.9	1.7
EV/EBIT (x)	21.3	19.1	16.2
Div Yield (%)	1.3	1.3	1.5

Source: Bloomberg, Bernstein estimates and analysis.

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This is critical because SAP increasingly views models as commodities whose economics and leadership positions can change rapidly. The sustainable moat is instead SAP's business process knowledge, semantic layer, ontology, governance framework and deep integration across enterprise workflows. In effect, SAP wants enterprise customers to build and run their own custom agents within the SAP ecosystem rather than allowing third-party orchestration platforms to become the primary interface to enterprise data. The key execution risk is timing: if SAP's rollout is too slow, customers may develop their own solutions before SAP's platform becomes the default orchestration layer.

3. AI could extend the cloud migration story rather than shorten it. AI is creating a second growth vector alongside the remaining cloud migration opportunity. SAP noted that approximately 60% of SAP's installed base has yet to move to the cloud. At the same time, existing cloud customers are increasingly looking to adopt AI capabilities that are only fully available on SAP's cloud platform. This means that AI becomes another reason to migrate rather than a separate spending decision.

Importantly, AI is already helping customers complete migrations faster by automating parts of the implementation process. SAP suggested migration timelines can be accelerated and that historical bottlenecks caused by shortages of system integrator capacity should gradually ease. Rather than seeing the ERP modernization cycle ending, SAP sees AI and cloud migration reinforcing each other. This supports continued cloud growth even beyond the traditional S/4 migration story.

4. Revenue from Agentic AI may take time, but the margin outlook appears more resilient than feared. Investors looking for a near-term AI revenue inflection may be disappointed, but SAP's longer-term economics appear attractive. SAP was clear that widespread monetization of agentic AI will take time as customers need to prepare their data, workflows and governance models. AI revenue is unlikely to become material over the next 12 months and will likely build gradually over a multi-year period.

However, SAP pushed back strongly against concerns that AI growth will dilute margins. The company believes it can improve economics through model switching, increasing use of lower-cost models, greater infrastructure efficiency and AI-driven productivity gains. SAP also highlighted internal productivity improvements of up to 20% in some functions and 30-35% improvements in software development productivity. Meanwhile, cloud margin headwinds from private cloud and sovereign cloud remain manageable in SAP's view and should be offset through operational efficiencies over time.

5. The war in the Middle East has limited impact on SAP's business at present. SAP reiterated its view that CCB growth should decelerate in 2026 vs 2025 (+25% at constant currencies [cc]) despite the strong performance in 1H26 (>+25% cc on average).

Conclusion: The key investment debate is shifting from cloud migration to AI value capture. SAP's thesis is that enterprise AI will not be won by the best model but by the platform that owns trusted business data, governance and workflow orchestration. If management executes successfully, SAP could evolve from a subscription software vendor into a platform that captures an ongoing share of customer productivity gains through AI consumption. The opportunity is large, but the pace of adoption and SAP's ability to establish Joule and its orchestration layer as enterprise standards will determine whether the company captures that value.

INVESTMENT IMPLICATIONS

We reiterate our Outperform rating on SAP with a price target of €273 / \$319.

BERNSTEIN TICKER TABLE

			14 Sep 2026		TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
SAP.GR (SAP)	O	EUR	188.34	273.00	(28.5)%	EUR	6.10	7.71	8.72	30.9	24.4	21.6
SAP (SAP)	O	USD	218.28	319.00	(29.3)%	EUR	6.10	7.71	8.72	31.0	24.5	21.7
EDME			1,577.08									
SPX			7,619.98									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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We value SAP.GR shares based on our estimate for 12-month EPS in 1 year's time (€9.57), apply a P/E multiple of 28x, and add net cash per share of (€5.1), arriving at price target of €273.

We then value the SAP ADR shares at \$319, using the SAP GR price target of €273 and the EUR/USD FX rate at the time of updating the model.

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RISKS**SAP SE**

Risks to our price target for SAP ADR include: slower than expected adoption of S4/HANA; lower than expected upsell into existing customers of additional modules and SaaS solutions; lower than expected growth of SAP SaaS offerings; lower than expected adoption of SaaS S4/HANA; slower migration of SAP's Cloud offerings to the hyperscale providers; issues with SAP driving margin improvement.

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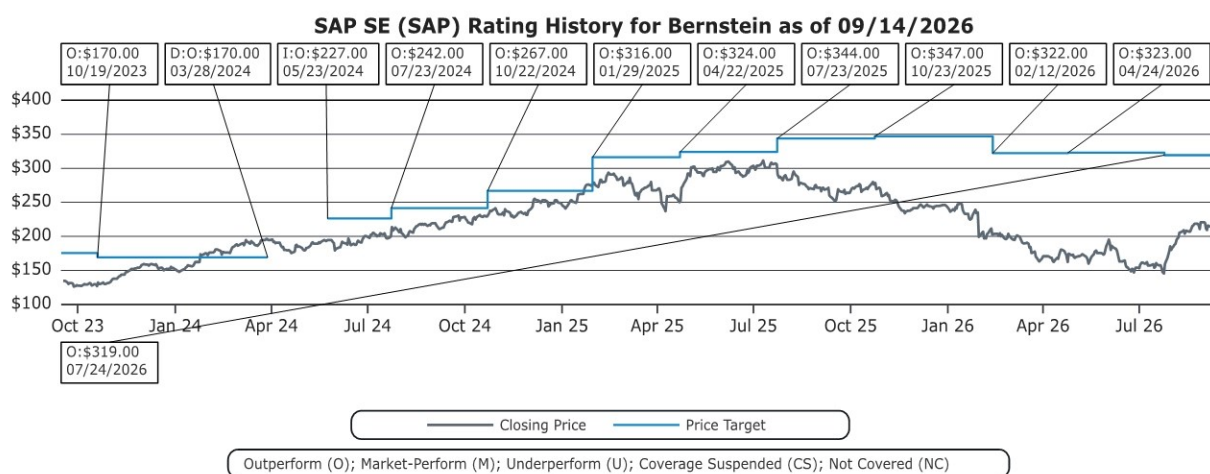
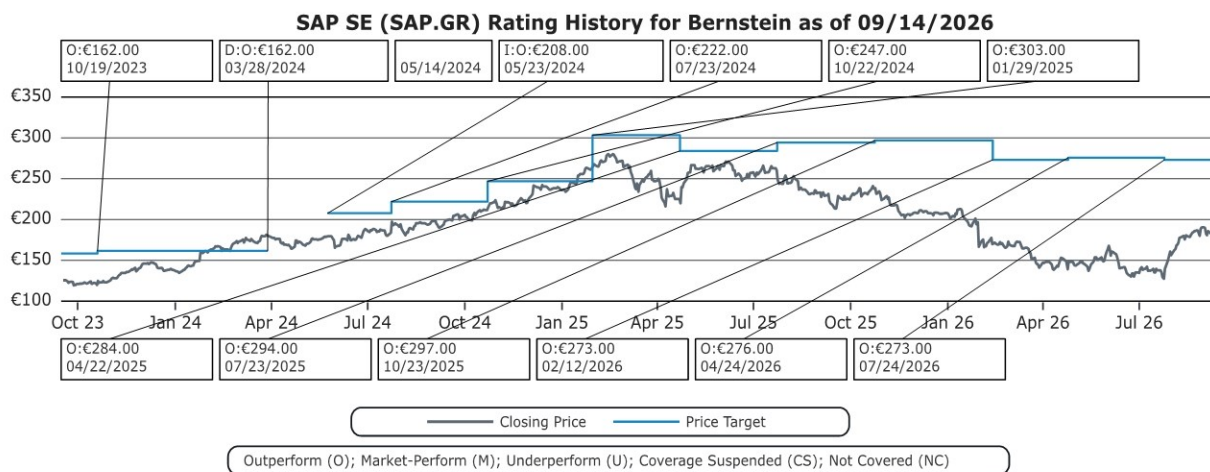
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Underperform	SELL	13.1%	13.6%

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